2:00 PM LINE 4

24-CIV-04529 CHUNYU TAN VS. YANG MIN YANG, ET AL

CHUNYU TAN	X YOUNG LAI
YANG MIN YANG	JONATHAN E. MADISON

MOTION FOR TERMINATING, ISSUE, EVIDENCE, AND MONETARY SANCTIONS RE: PLAINTIFF'S SPECIAL INTERROGATORIES (SET ONE, NO. 1-12)

TENTATIVE RULING:

For the reasons stated below, plaintiff Chunyu Tan's "Motion for Terminating, Issue, Evidence, and Monetary Sanctions Re: Plaintiff's Special Interrogatories (Set One, No. 1-12)," filed March 13, 2026, is **GRANTED-in-part**. (Code Civ. Proc. § 2023.010 et. seq. [discovery misuse].)

A. Service of the Motion

The court has questions about whether this Motion was properly served. On March 13, 2026, plaintiff served four separate discovery-related motions on defendant Yang Min Yang, all four of which are set for a hearing on August 5, 2026 (including this motion, which pertains to plaintiff's Special Interrogatories, Set One.) Plaintiff's March 18, 2026 Proof of Service is somewhat unclear as to whether the moving papers were served on defendant's counsel, Jonathan Madison, at the proper email address. (The Proof of Service states that the moving papers were served by email to "jmadison@themadisonfirm" rather than "jmadison@themadisonfirm.com.")

Counsel for plaintiff and defendant are **ORDERED TO APPEAR** by Zoom at the hearing on August 5, 2026 at 2:00 p.m. in Department 28, Courtroom I. Plaintiff's counsel must supply an explanation to the court regarding service. Assuming the court is satisfied that service was accomplished, the court tentatively rules as follows.

B. Background

Plaintiff Chunyu Tan's August 26, 2024 First Amended Complaint (FAC) alleges that in 2022, plaintiff loaned $500,000 to defendants Yang Min Yang and Che Ping Tam pursuant to a Promissory Note calling for annual interest of 12%. The loan allegedly was secured by a Deed of Trust on real property located in San Francisco that was owned by defendants Yang and Tam. The FAC alleges that at the time of the 2002 loan, defendants concealed their precarious financial status and the fact that their San Francisco property, which secured the loan, had a superior lien. The first lienholder allegedly later foreclosed on the San Francisco property and plaintiff lost her security interest in the $500,000 loan. Plaintiff alleges that defendants still owe $505,000 on the Note, plus interest and other fees and charges.

As of December 2025, defendants Che Ping Tam and Y & W Investment LLC had defaulted, leaving Yang Min Yang as the only remaining active defendant.

The FAC asserts causes of action for (1) breach of contract, that is, breach of the Promissory Note; (2) fraud as to the alleged concealment of the first lien on the San Francisco property; (3) fraudulent transfer; and (4) conspiracy.

With this motion, plaintiff seeks terminating sanctions against defendant Yang Min Yang, or alternatively, issue, or evidentiary sanctions, plus monetary sanctions, for alleged discovery abuse — specifically, defendant Yang's failure to provide basic responses to plaintiff's Special Interrogatories (Set One), Nos. 1-12.

On August 7, 2025, the court ordered defendant Yang to serve code-compliant responses to the Special Interrogatories (Set One) (as well as responses to other discovery served by plaintiff) within 10 days. (Aug. 7, 2025 Order.) Defendant Yang did not do so. Instead, Yang forced plaintiff to initiate and attend a series of informal discovery conferences (IDCs) for about three more months. Defendant Yang promised to serve proper responses to the Special Interrogatories, but kept delaying until November 18, 2025, when Yang finally served "supplemental" responses to the Special Interrogatories (Set One). However, Yang's "supplemental" responses provided virtually no information at all. (See generally, March 13, 2026 Lai Decl., and March 13, 2026 "Separate Statement re Special Interrogatories.")

Thus, despite the court's August 7, 2025 Order instructing defendant Yang to serve code-complaint responses to the Special Interrogatories (Set One) within 10 days, Yang did not serve further responses until November 18, 2025, and even then, the responses were essentially meaningless non-responses.

Now, nearly a year later, defendant Yang has still not provided any meaningful responses to plaintiff's Special Interrogatories (Set One).

B. Law Governing Sanctions for Discovery Misuse

"It is a central precept to the Civil Discovery Act of 1986 (§ 2016 et seq.) ... that civil discovery be essentially self-executing." (*Townsend v. Superior Court* (1998) 61 Cal.App.4th 1431, 1434.) The goal of a self-executing discovery system is stymied when it requires the trial court to become involved in discovery because a dispute leads a party to move for an order compelling a response. (*Clement v. Alegre* (2009) 177 Cal.App.4th 1277, 1291.) Parties are reminded that "a reasonable and good faith attempt at informal resolution entails something more than bickering with [opposing] counsel.... Rather, the law requires that counsel attempt to talk the matter over, compare their views, consult, and deliberate." (*Id.*, at p. 1294.)

Code of Civil Procedure, section 2023.030 provides that, to the extent authorized by any particular discovery method, the court may impose monetary, issue, evidence or terminating sanctions. Code of Civil Procedure, sections 2030.300, subdivision (e) and 2031.310, subdivision (i) state that if a party fails to obey and order compelling further responses, the court may make those orders that are just, including the imposition of an issue, evidence or terminating sanction.

Whether to grant a sanction is entirely within the discretion of the court. (Weil & Brown § 8:1207; *Pember v. Superior Court* (1967) 66 Cal.2d 601, 604.) Trial courts have broad discretion regarding whether to impose sanctions and which sanctions to impose. (*Cornerstone Realty Advisors, LLC v. Summit Healthcare REIT, Inc.* (2020) 56 Cal.App.5th 771, 789.) The court's choice of sanctions is reviewable only for abuse of discretion. (*Sauer v. Superior Court* (1987) 195 Cal.App.3d 213; Code Civ. Proc., §§ 2023.010; 2023.030 [describing "misuses of the discovery process", which include "[f]ailing to respond or to submit to an authorized method of discovery" and "[d]isobeying a court order to provide discovery."], section 2023.010, subdivisions (d), (g).)

The court's decision on a request for sanctions should reflect the purpose of discovery sanctions which is to enable the party seeking the discovery to obtain the information sought, not to punish a disobedient party. (*Ghanooni v. Super Shuttle of Los Angeles* (1993) 20 Cal.App.4th 256, 262.)

Lesser sanctions should usually be granted before imposing terminating sanctions. (*Deyo v. Kilbourne* (1978) 84 Cal.App.3d 771.) Terminating sanctions for discovery abuses are to be used sparingly because of the drastic effect of their application. (*Dept. of Forestry and Fire Protection v. Howell* (2017) 18 Cal.App.5th 154, 191.) Terminating sanctions are authorized where the evidence shows that less severe sanctions will not succeed in compelling discovery responses. (*Mileikowsky v. Tenet Healthsystem* (2005) 128 Cal.App.4th 262, 279-280.)

Typically, a party's disobedience of an order compelling discovery must come before an order imposing terminating sanctions. (*Kravitz v. Superior Court* (2001) 91 Cal.App.4th 1015, 1021.) A court does not abuse its discretion in ordering termination sanctions against a party that has "persisted in its pattern of failure or refusal to give meaningful responses to discovery." (*Liberty Mutual Fire Ins. Co. v. LcL Administrators, Inc*. (2008) 163 Cal.App.4th 1093, 1106.)

C. Plaintiff's Special Interrogatories (Set One), Nos. 1-12

Plaintiff's Special Interrogatories and defendant's responses are summarized as follows:

1. State the amount of the interest payments of the LOAN that DEFENDANTS have made …

(Defendant Yang's summarized supplemental response: defendant is presently unable to state the amount of interest payments allegedly made in connection with the loan referenced …)

2. IDENTIFY any DOCUMENTS showing the interest payments of the LOAN …

(Defendant Yang's summarized supplemental response: notwithstanding a ledger, defendant is not presently aware of any documents in his possession, custody, or control showing interest payments made in connection with the alleged loan.)

3. State the amount of the principal payments of the LOAN that DEFENDANTS have made …

(Defendant Yang's summarized supplemental response: defendant is presently unable to state the amount of interest payments allegedly made in connection with the referenced loan.)

4. IDENTIFY any DOCUMENTS showing the principal payments of the LOAN.

(Defendant Yang's summarized supplemental response: notwithstanding a ledger, defendant is not presently aware of any documents in his possession, custody, or control showing interest payments made in connection with the alleged loan.)

5. State the amount of the compensation that STEVEN GUANG LEUNG received from DEFENDANTS in connection with the LOAN.

6. IDENTIFY any DOCUMENTS showing the compensation that STEVEN GUANG LEUNG received from DEFENDANTS in connection with the LOAN.

7. State whether any written agreement(s) entered into between STEVEN GUANG LEUNG and DEFENDANTS in connection with the LOAN.

(Defendant Yang's summarized supplemental responses to SROGS 5-7: defendant "is currently unaware of any compensation paid to Steven Guang Leung by Defendant in connection with the loan," and is not aware of documents including written agreements relating to any payments.)

8. State when DEFENDANTS received the LOAN funds of $500,000.

(Defendant Yang's summarized supplemental response: defendant lacks sufficient information at this time to state the specific date or method by which the alleged loan funds were received.)

9. State whether DEFENDANTS received the LOAN funds in the form of cash.

(Defendant Yang's summarized supplemental response: defendant does not recall receiving the alleged loan funds in the form of cash.)

10. IDENTIFY the PERSON who delivered the LOAN funds …

(Defendant Yang's summarized supplemental response: defendant is presently unable to identify the person who delivered the loan funds.)

11. Describe how DEFENDANTS made the interest-only payments of the LOAN to PLAINTIFF from June 1, 2022 through April 1, 2023 (e.g., through cash, checks, or wire-transfer.)

> (Defendant Yang's summarized supplemental response: defendant is presently unable to describe the method by which interest-only payments, if any, were made from June 1, 2022 through April 1, 2023.)

12. If the interest-only payments of the LOAN to PLAINTIFF from June 1, 2022, through April 1, 2023, were disbursed through an intermediate person, IDENTIFY that person.

> (Defendant Yang's summarized supplemental response: defendant is presently unaware of any person who served as an intermediary for the disbursement of interest-only payments to plaintiff.)

As can be seen from defendant Yang's "supplemental" responses, he has made no attempt to provide meaningful responses to the Special Interrogatories (Set One), despite being given substantial time to do so, and despite having been ordered to do so. (Aug. 7, 2025 Order.)

D. Plaintiff's Breach of Contract Allegations

The FAC's first cause of action for breach of contract (breach of the Promissory Note) alleges, in part:

> 27. Pursuant to the terms of the Promissory Note, the Borrowers were to make 11 monthly interest only-payment[s] of $5,000 starting from June 1, 2022, and the principal and last interest payment in a total of $505,000 on or before May 1, 2023.
>
> 28. From June 1, 2022, through April 1, 2023, 11 interest-only payments of $5,000 were made. However, Defendants failed to make the Balloon Balance of $505,000 on May 1, 2023, and continue to fail to do so thereafter. …
>
> 30. As a result of the default, Defendants YANG and TAM have breached the Promissory Note. As a direct and proximate consequence of Defendants' breach, Plaintiff has been damaged in the amount of the Balloon Balance, the Late Charges, the interest at the Note Rate and Default Rate that continues to accrue, and the Return Check Charge, plus any additional fees and expenses permitted under the Promissory Note, all in an amount according to proof at the time of trial.
>
> 31. As of now, the amounts due, owing, and outstanding under the Promissory Note are the principal of $505,000, the Return Check Charge of $50, the Late Charge of $85,000, and interest of $107,312.50, which are continuously accruing.

E. Issue and/or Evidentiary Sanctions

In its discretion, the court declines to issue termination sanctions at this time. However, the court hereby issues the following issue/evidentiary sanctions against defendant Yang Min Yang.

Plaintiff contends that she loaned $500,000 to defendants in 2022, and thereafter, defendants made 11 interest-only payments to plaintiff in the amount of $5,000 each. Plaintiff alleges that defendants failed to make the final "balloon" payment of $505,000 ($500,000 in principal plus the last $5,000 interest payment). Thus, plaintiff contends that defendants still owe $505,000 on the Note, plus additional amounts for a returned check charge, late charge, and interest, which are still accruing.

Because defendant Yang has refused to provide any information about any principal and/or interest payments on the loan, defendant Yang Min Yang is and shall be shall be barred and precluded from offering, at trial, any evidence to refute or dispute plaintiff's contentions that:

- In 2022, plaintiff loaned $500,000 to defendants, per the referenced Promissory Note, which has not been repaid;
- After the loan was made, defendants made a total of 11 interest-only payments of $5,000, but defendants have not paid, and still owe, the entire principal amount of the loan ($500,000), plus the final interest payment of $5,000 (for a total of $505,000), plus any additional amounts that plaintiff may prove at trial (for example, returned check charge(s), late charge(s), and interest.)

The motion for monetary sanctions is also **GRANTED in part**, against defendant Yang Min Yang, in the amount of $3,000.

Plaintiff seeks $4,000 in monetary sanctions against defendant Yang Min Yang and his counsel for attorney's fees incurred with this motion. (March 13, 2026 Lai Decl., ¶ 14(b) [seeking compensation for eight hours of attorney time at $500/hour].) The court credits plaintiff for six hours of attorney time at $500/hour (6 x $500 = $3,000). The court is reducing the requested time because there is no opposition for plaintiff's counsel to review. Accordingly, plaintiff's motion for monetary sanctions against defendant Yang Min Yang and his counsel of record is **GRANTED** in the amount of $3,000, which shall be paid within thirty (30) days of notice of entry of this Order.

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, plaintiff's counsel shall prepare a written order consistent with the court's ruling for the court's signature, pursuant to California Rules of Court, Rule 3.1312 and Local Rule 3.403(b)(iv), and provide written notice of the ruling to all parties who have appeared in this action. The order should be e-filed only, do not email or mail a hard copy to the court.

2:00 PM LINE 5

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CHUNYU TAN	X YOUNG LAI
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MOTION FOR TERMINATING, ISSUE, EVIDENCE, AND MONETARY SANCTIONS RE: PLAINTIFF'S REQUESTS FOR PRODUCTION OF DOCUMENTS (SET ONE, NO. 1-9)

TENTATIVE RULING:

Plaintiff Chunyu Tan's Motion for Terminating, Issue, Evidence, and Monetary Sanctions Regarding Plaintiff's Requests for Production of Documents (Set One, Nos. 1–9) is **GRANTED in part.**

A. Service of the Motion

The court has questions about whether this Motion was properly served. On March 13, 2026, plaintiff served four separate discovery-related motions on defendant Yang Min Yang, all four of which are set for a hearing on August 5, 2026 (including this motion, which pertains to plaintiff's Requests for Production of Documents, Set One.) Plaintiff's March 18, 2026 Proof of Service is somewhat unclear as to whether the moving papers were served on defendant's counsel, Jonathan Madison, at the proper email address. (The Proof of Service states that the moving papers were served by email to "jmadison@themadisonfirm" rather than "jmadison@themadisonfirm.com.")

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